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Business Process Procedure Overview
Inventory

1. Definition of Stock

Stock refers to all inventory owned by Bosch MA-IN. Stock in Bosch MA warehouses is maintained in alignment with demand and availability to ensure optimal inventory levels for customer service and supply continuity

1.1. Classification of Stock

The stock in MA-IN is categorized into 3 types majorly: -

- a) **Good Stock:** Good Stock represents inventory that is required to meet current or expected demand within defined coverage limits.

Good Stock includes:

Healthy Stock – Stock on hand up to the defined target level

Transit Stock – Stock that are in transit from source such as vendor, plant or warehouse

Phase-In Stock – New or ramp-up parts within a defined grace period (NPI)

- b) **Bad Stock:** Bad Stock refers to sellable inventory that exceeds coverage limits / defined target limit

Bad stock may accumulate due to procurement exceeding defined coverage limits, production risk mitigation, one-time or last time buy decisions, or planning inaccuracies. Such inventory negatively impacts inventory turnover, increases capital lock-in, and leads to higher warehouse space utilization.

Bad Stock is classified into 2 types:

- (i) **Excessive Stock:** Excessive Stock is sellable inventory exceeding the demand-based target stock level.

Aspects	Description
Definition	Surplus stock beyond required coverage
Sellable	Yes
Typical Status	Mainly Status 40 (Active)

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Formula for excessive stock:

$$\text{Excessive Stock} = (\text{Stock on Hand} + \text{GIT}) - \text{Demand} (\text{LT} + \text{Planned Coverage days}) - \text{Safety Stock}$$

The excessive stock calculation method is explained in below ppt:



AP_ New Excessive
STOCK for 2022.pptx

The 2022 evaluation of the new excessive stock logic shows improved inventory planning by incorporating total lead time at SKU and plant levels and aligning closely with the planning system. It enables easy simulation of overstock scenarios, supports weekly SKU review based on impact and trends, and allows stock policy adjustments based on demand predictability. The logic also includes supersession considerations and facilitates advanced analysis such as high MOQ versus demand using SQL.

However, it is expected to increase identified excess stock by ~50%, potentially impacting working capital. Additionally, its decentralized application may lead to inconsistencies, making cross-regional comparisons less reliable.

Overall, the 2022 logic enhances analytical capability and decision-making, but requires careful control of increased stock levels and improved standardization across regions.

- (ii) **Dying Stock:** Dying Stock is sellable inventory linked to phase-out or end-of-life materials, with declining in demand, End of EODP or no future demand.

Aspects	Description
Definition	Stock associated with phase-out materials
Sellable	Limited
Material Status	Status 49 and Status 50

c) **Blocked Inventory:** Blocked Stock refers to inventory that non conformity of parts for sale, as the stocks would be blocked or tagged for quality inspection, damage, or deviation during goods receipt or handling.

In SAP, unrestricted and blocked stocks are classified as shown in the table below. Each stock type has defined actions and material flow processes associated with it.

<u>Good stock</u>	<u>Blocked Stock</u>
Stock on Hand, INOH, 90FG	Customer Returns: 90CR, INCR
Dock Stg: INDO	Damage / Def. Stk: 90QU, 90TL, INDD,
Spl Stock Category: INCA*	Expired Stock: 90SL, INEX, INHL
Other Stocks: 90RM, 90WP	Inspection Stock: ININ

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	Repacking / rework: INRP
	Scrap: INSC
	Shortage: 90SH, INSH, AXRB, AXEX
	Vendors return INRV

Table 1.1 Classification of the Good Stock & blocked Stock location wise

2. Actively Decided Stocks

Actively Decided Stock (ADS) refers to inventory that is intentionally built or maintained based on a documented business decision to support specific operational or financial objectives, such as production risk mitigation, one-time buy or last-time buy requirements, or other strategic business needs.

Process of Declaring ADS: ADS is declared through the WorkOn approval process, where BU, Sales, or Logistics initiates a requisition with the required business justification and scenarios, along with the applicable top management approval matrix. After approval, the respective stocks are listed under ADS and indicated accordingly and are periodically monitored through the Tracking Dashboard. The detailed process is provided in the attachment below.



Actively decided
stock 0519 LOP ww.ppt

- Inventory is divided into 3 types:
 - Good Stock
 - Blocked Inventory
 - Bad Stock
- **Goal:**
 - Maintain good stock to support EBIT & growth
 - Reduce bad stock to minimize Net Working Capital (NWC)
- **Bad Stock includes:**
 - Excessive Stock
 - Dying Stock
 - Blocked Stock
- **Blocked Inventory:**
 - Stock kept intentionally based on business decision
 - Even if it looks excess, it is justified
- **Inventory Impact:**
 - Inventory affects Net Working Capital
 - Also linked with:
 - Accounts Receivable
 - Accounts Payable
 - Total Coverage Time
- **Key Strategy:**
 - Avoid unnecessary stock buildup

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- Continuously reduce bad stock
- Keep only required and justified stock
- **Vision:**
 - At any time, across all locations → only good stock should exist (at product level)

Potential Saving Calculation

This slide outlines 12 scenarios where inventory is intentionally created and how value is generated. The key idea is that stock is built to either increase margin (GM1), avoid future costs (e.g., special transport), improve plant efficiency, or gain from price changes. It highlights that inventory decisions are financially or strategically driven, not accidental.

RASIC – Cases 1, 2, 8 (SNA / CA / SMS)

Covers new business and customer-paid stock scenarios. These are primarily sales-driven decisions, focused on revenue generation and margin (GM1). Process includes request → approval (WorkOn) → procurement → tracking, with clear ownership defined via RASIC.

SMS (Sales, Marketing & Service) ensures alignment of sales strategy, customer engagement, and service delivery within these cases

RASIC – Cases 3, 4, 5 (LOP)

Focuses on seasonality, production leveling, and supplier shortage prevention.

These are operations/planning-driven decisions, aimed at ensuring smooth production, avoiding disruptions, and reducing emergency costs.

LOP (Logistics Planner) takes primary responsibility with structured approval and execution steps.

RASIC – Cases 6, 7 (BU)

Covers relocation buffer and carve-out/divestment scenarios.

These are business unit-driven strategic decisions, typically linked to organizational or structural changes.

BU (Business Unit) is responsible for ensuring continuity while minimizing logistics risks and costs.

RASIC – Cases 6, 10, 11 (PUR)

Deals with procurement-led scenarios, including relocation, price increase pre-stocking, and supplier support.

The objective is cost optimization, securing better pricing, and maintaining supplier stability.

PUR (Purchase) owns execution along with approval and tracking processes.

The I² Inventory Initiative focuses on actively managing stock to support EBIT and growth while minimizing net working capital (NWC). Inventory is categorized into good stock, actively decided stock, and bad stock, with the main goal of reducing bad stock, which includes excessive, dying, and blocked inventory.

By linking inventory coverage with receivables and payables, the approach improves overall working capital control. The vision is to maintain primarily good stock across all locations at the 13-digit part number level, ensuring efficient operations and financial performance.

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3. Material Statuses:

Material status defines whether a material is subject to restrictions and specifies the nature of those restrictions.

It helps control the use of a material across different business processes such as purchasing, production, and sales.

Material Status	Description	Inventory Interpretation	Procurement	Sale
40	Active material	Will Sellable (Good or Excessive)	✓	✓
49	Phase-out initiated	Excessive or dying	✗	✓
50	Phase-out completed	Dying	✗	✗

Refer the Tcode table:

4. Q-Notification:

Q-Notification is a quality complaint when a non-conforming product is identified. It captures the issue details and routes the stock to the appropriate blocked location thru inspection from Quality team. This triggers a cross-functional review involving other departments to access the deviation and determine the suitable cause of action like saleable, repack / rework, scrap or vendor return.

- Refer the other document for full explanation: [LOP_Execution.docx](#)

Definition of Terms:

The following abbreviations are used throughout this document:

- **WH** refers to Warehouse.
- **PO/TO** refers to Purchase Order / Transfer Order.
- **Pack IT Portal** refers to Packaging Integrated Tool Set.
- **WorkOn Portal** refers to Scrapping Integrated Tool Set.
- **NC Label** refers to Non-Conformance Label.
- **POD** refers to Proof of Delivery.
- **DC** refers to Delivery Chalan.

Blocked Stocks

Blocked Stocks are inventory items that are temporarily restricted from sale or usage due to quality issues or stock deviations identified in the warehouse. These stocks are moved to designated locations for inspection and further processing.

The following types of blocked stocks are used in warehouse operations:

- **INOH** refers to Saleable Stock in Hand.

INTERNAL

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15-05-2026

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- **INDD** refers to Damaged Stock.
- **INSH** refers to Stock Shortage.
- **INHL** refers to Expired / Shelf Life Stock.
- **INRP** refers to Rework / Repackage Stock.
- **INRV** refers to Return to Vendor Stock.
- **INSC** refers to Scrap Stock.
- **ININ** refers to Inspection Stock.

Q-Notification

A Q-Notification is a quality issue record created in SAP when non-conforming stock is identified. It captures the issue details, moves the stock to the inspection location (ININ), and initiates further review for actions such as repack, scrap, or vendor return.

Execution by LOP

After inspection, the QMM department updates the final decision in the system, which is then executed by the LOP department to ensure proper liquidation of blocked stock through the following processes:

- Repacking (INRP) Process
- Expiry / Shelf-Life (INHL) Process
- Inbound Damage (INDD) Process
- Warehouse Outbound Damage (INDD) Process
- Shortage (INSH) Process
- Vendor Return (INRV) Process
- Scrapping (INSC) Process

SAP Activities

SAP (Systems, Applications, and Products in Data Processing) is an enterprise resource planning system used to manage warehouse, inventory, quality, and operational processes.

The following SAP activities are used in blocked stock management:

- **GRN** is used for Goods Receipt processing.
- **QA32** is used for Inspection Processing.
- **PI07** is used for Shelf-Life Updates.
- **TO Confirmation** is used for Stock Movement Confirmation.
- **Q-Notification** is used for Defect Tracking.
- **Posting Change Delivery** is used for Final Stock Movement.

5. Process Description:

5.1 Goal of Inventory Management

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The goal of Inventory Management is to maintain optimal stock levels that balance product availability, supply chain efficiency, and capital utilization while meeting customer demand and minimizing inventory-related risks.

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KPI	Formula	Significance
Inventory Turnover Time (TAT)	Total Inventory / Average Inventory * 30	Lower value indicates faster stock movement
On-Shelf Availability (OSA)	Available Stock / (Customer Order + Safety Stock)	Measures stock availability against required demand.
Warehouse Occupancy %	Occupied Bins / Total Bins x 100	Percentage Indicates storage utilization
Blocked Stock %	Blocked Stock Value / Total Inventory Value	Measures quality or deviation impact
Inventory Aging	Current Date – Inbound Date (or) Current date – batch Date	Indicates stock aging risk

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5.2 Product Life Cycle Management:

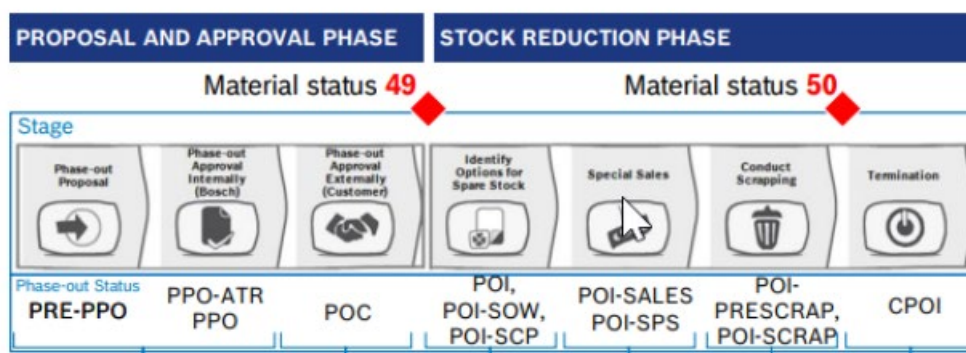
Product Life Cycle Management (PLM) is a structured approach to managing a product from introduction to phase-out across its entire lifecycle.

PIPO Tool [Phase-In & Phase-Out Tool] is a standardized, transparent, and measurable process introduced in Mobility Aftermarket (MA). It consists of two core processes: Phase-in and Phase-out. The goal of the Phase-in process is to reduce unprofitable phase-ins and improve time-to-market. The PIPO process is mainly managed through the ViTAA tool, which is maintained globally by MBL, Sales, and LOP. The entire process, from request and approval to phase-out execution, is tracked through this tool.

Data flows from **ViTAA → KP1 → PCD systems**.



SupplyChainPlanner_
Training_RP_Phase-ou



The Phase-out process aims to exclude 13-digit serial numbers from the MA product portfolio once they are expected to be no longer profitable and there is no remaining delivery obligation. The need for replacement occurs due to technical change, source change or packaging change.

5.3 Parts Relocation:

Relocation of overstock from one region to another region with better potential of consumption. This helps optimize stock levels, reduce excess inventory, and improve overall supply chain efficiency. The relocation tool supports planners and ERP key users in their daily activities, including execution, tracking, and follow-up of the relocation process.



Relocation_Tool_Man
ual.pdf

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Concept

Relocation is the process of transferring overstock materials from one sales region to another region with better consumption potential to optimize inventory utilization and avoid excess stock at production plants.

Scope and Target

The process applies to sales regions with excessive stock and considers shelf-life status greater than 12 months. It includes stock relocation based on sales potential and inventory coverage.

Sending Area

Materials are relocated from regions with stock coverage above 36 months or from discontinued part numbers.

Receiving Area

Materials are transferred to regions with better consumption potential and stock coverage below 12 months.

Relocation Tool and Purpose

The relocation tool supports planners and ERP key users in managing relocation activities, tracking stock movement, and processing relocations across regions.

General Overview

The tool requires enabling macros during first use and provides navigation through the Home page for managing relocation activities.

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5.4 Inventory Classification.

Inventory is broadly classified into Make-to-Stock (MTS) and Make-to-Order (MTO), and this classification plays a key role in determining planning strategy, stock levels, and replenishment logic.

This classification determines how materials are planned in the system (forecast-driven vs. order-driven), influences safety stock and reorder levels, and directly impacts inventory calculation, service levels, and overall supply chain efficiency.

- i) **Make-to-Stock (Make-to-Stock (MTS)):** Products are produced based on demand forecasts and stored in inventory. This ensures quick availability but may lead to higher stock levels.
- ii) **Make-to-Order (MTO):** Products are produced only after receiving a customer order. This reduces inventory but may increase delivery time.

Inventory is classified using **ABC analysis** based on customer demand (order lines) and product value:

- **A Class (80%):** High-value or high-demand items that contribute the most to overall business impact.
- **B Class (15%):** Items with moderate value or demand; managed with a balanced approach and regular monitoring.
- **C Class (5%):** Items with low value or demand; handled with simplified controls and infrequent review.

*		Order Line →		
		A	B	C
Order Value	A			
	B			
	C			

In PCD, the MRP type defines the inventory classification of parts. Based on business requirements, inventory is categorized and assigned specific codes as shown in the table below.

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Pcd MRP Type	Description
VV	Forecast-based inventory across <u>all warehouses</u> , maintained with safety stock where CSL measured
SP	Forecast-based inventory across <u>selected warehouses</u> , maintained with safety stock where CSL measured
FC	Forecast-based inventory across all warehouses, maintained with safety stock where <u>CSL not measured</u>
OP	Make-to-Order (MTO) parts <u>with forecast</u> and safety stock
PD	Make-to-Order (MTO) parts <u>without forecast</u> (order-driven planning)
ND	No planning for parts (applicable to both MTO and MTS)

5.5 Scrapping Method:

Scrapping is the process of removing obsolete, damaged, or unusable inventory from the system after approval. It is initiated through MA Scrapping WorkOn with proper justification and approval as per the defined matrix (**refer: RBIN/OMP document**). Once approved, materials are moved to the scrap area, written off in the system, physically destroyed, and disposed of via approved vendors (**refer: MP-306-01-206-IN**).



MAPD-12103-000_V
AW_N_EN_2026-02-2

Subject Matter, Objective and Purpose

This process is designed to streamline the write-off and physical scrapping of goods after approval, ensuring proper disposal, prevention of pilferage, and maximum scrap recovery value.

Scope

The procedure is applicable to all MAIN warehouses and covers product-specific scrapping, GST-related requirements, scrap segregation, disposal handling, and compliance activities. Special handling is required for regulated products such as batteries and lubricants.

Procedure

Items identified as scrap must receive proper write-off approval as per company guidelines before disposal. Once approved, the materials are physically defaced or damaged and then processed for disposal or scrapping.

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Important SAP T-Code relevant to Inventory:

Process	SAP T-Code
Stock Overview	MMBE
Stock at Plant Level (Stock/Requirements)	MD04
Material Movements (GR, GI, Transfer)	MB51
Warehouse Stock List	MB52
Warehouse Stock (WM)	LX05
Storage Bin Stock	LX25
1Stock in Transit	MB5T
Shelf Life Expiry	MB5M
Quality Notification (Change/Display)	QM02 / QM03
Quality Cockpit	/RBCR/QM_COCKPIT
Material master	MM03 / ZMM03
Ageing Stock report (1WM wh)	/RBI2/YV_AGEINGSTOCK

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IMPORTANT QUESTIONS WITH ANSWERS: -

MATERIAL STATUS QUESTIONS

1. What happens after material status 50?

Answer: Material Status 50 represents obsolete inventory.

Implications:

- Procurement is blocked
- Sales are blocked
- Material is treated as obsolete inventory

2. What triggers movement from 40 → 49?

Answer: Movement from Material Status 40 to 49 occurs when phase-out is initiated and inventory becomes excessive or dying.

Material Status Meaning:

- Status 40 = Active material
- Status 49 = Phase-out initiated

3. What restrictions apply to each status?

Answer:

Material Status 40

- Active material
- Procurement allowed
- Sales allowed

Material Status 49

- Phase-out initiated
- Procurement blocked
- Sales allowed
- Inventory interpreted as excessive or dying

Material Status 50

- Obsolete material
- Procurement blocked
- Sales blocked

ADS QUESTIONS

4. Who approves ADS inventory?

Answer: The document states ADS inventory is approved through the WorkOn process.

Important Limitation: The exact approving role or department is NOT defined in the current document.

5. What are ADS approval criteria?

Answer: The document defines ADS inventory as strategically maintained inventory approved through the WorkOn process.

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INVENTORY EXECUTION / CONCEPT QUESTIONS

6. What is the difference between excessive and dying stock?

Answer:

Excessive Stock:

Inventory beyond required coverage. The material still has demand but stock quantity exceeds business requirement.

Dying Stock:

Inventory with very low or no future demand nearing obsolescence.

7. What is the difference between blocked and obsolete stock?

Answer:

Blocked Stock:

Inventory temporarily restricted from usage or sale. Blocked stock may still be recoverable after inspection, repack, quality clearance, or decision.

Obsolete Stock:

Inventory no longer usable for procurement or sales. Material Status 50 represents obsolete inventory.

8. What is the difference between MTS and MTO?

Answer:

MTS (Make-To-Stock):

Inventory maintained based on forecasted demand. Stock is produced and stored before customer orders are received.

MTO (Make-To-Order):

Inventory maintained based on specific customer demand. Production or procurement is initiated after customer order confirmation.

9. What is the difference between ADS and normal inventory?

Answer:

ADS Inventory:

Strategically maintained inventory approved through the WorkOn process. Maintained intentionally for business continuity or strategic reasons.

Normal Inventory:

Inventory managed under standard inventory planning and stocking logic.

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INVENTORY DEFINITIONS & BUSINESS UNDERSTANDING

10. What is excessive stock?

Answer: Excessive stock refers to inventory beyond required coverage. The stock exceeds expected business requirement or demand coverage.

11. What is dying stock?

Answer: Dying stock refers to inventory with low or no future demand approaching obsolescence.

12. What is blocked stock?

Answer: Blocked stock refers to inventory temporarily restricted from usage or sale due to quality, damage, inspection, or other operational reasons.

13. What is obsolete stock?

Answer: Obsolete stock refers to inventory no longer usable for procurement or sales. Material Status 50 represents obsolete inventory.

14. What is ADS inventory?

Answer: ADS inventory refers to strategically maintained inventory approved through the WorkOn process.

15. What is inventory aging?

Answer: Inventory aging refers to the duration inventory remains in stock without consumption or movement.

16. What is material phase-out?

Answer: Material phase-out refers to the transition of material from active usage toward restricted or obsolete status. This is represented through material status transitions such as 40 → 49 → 50.

INVENTORY CATEGORY QUESTIONS

17. What is Make-To-Stock inventory?

Answer: Make-To-Stock inventory is inventory maintained based on forecasted demand. Stock is available before customer demand occurs.

18. What is Make-To-Order inventory?

Answer: Make-To-Order inventory is inventory maintained based on specific customer demand. Inventory procurement or production occurs after order confirmation.

19. What is active inventory?

Answer: Active inventory refers to inventory under Material Status 40 where procurement and sales are allowed.

20. What is phase-out inventory?

Answer: Phase-out inventory refers to inventory under Material Status 49. Procurement is blocked while sales are still allowed. Inventory is interpreted as excessive or dying.

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KPI & BUSINESS CONCEPT QUESTIONS

21. What is the purpose of inventory KPIs?

Answer: Inventory KPIs support monitoring of inventory health, stock quality, aging, and inventory classification.

22. Why is excessive stock important?

Answer: Excessive stock indicates inventory beyond required coverage. It helps identify inventory imbalance and potential excess inventory risk.

23. Why is dying stock important?

Answer: Dying stock helps identify inventory approaching obsolescence due to low or no future demand.

24. Why is material status important?

Answer: Material status controls procurement and sales behavior for inventory lifecycle management.

Examples:

- Status 40 → Active
- Status 49 → Phase-out
- Status 50 → Obsolete

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MA Procedure		DA-PM.(x)xx.(n)nn-SL		 BOSCH	
Title: Block Stock Management Process					
Area Owner: MA/xx		References: No.of former VA xx-AA-nnn Supplement to: BBM Compass: NA		Version: x.x	
Owner: MA/xxx				Date: yyyy-mm-dd	
Expert: MA/xxx - name				Language of original: English	

Scope: ¹⁾												
Business Units					Regions							Location / Unit
All	AS	CG	TG	WS	All	EU	NA	LA	IN	APAC	AF	All worldwide (except running PMI or BrC)
X									X			
Further scope definition:												

¹⁾ RO take over the PD through their own approval respectively to implement it correspondingly – under consideration of local legislation.

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Subject matter, objective and purpose:	
- This document covers the entire Q-Notification resolution process for blocked goods, including all possible dispositions like damage, shortage, shelf, repacking, scrap, and vendor return - To ensure timely and standardized handling of blocked stock through clear workflows and departmental responsibilities. - To enable accurate decision making and seamless execution of liquidation or disposal actions for defective or excess inventory.	
Input:	Output:
- o Q-Notification - o Blocked Stocks execution	- o Shortage/Expiry execution - o Damage execution - o Vendor return execution - o Rework execution - o Scrapping execution
Changes in current version:	
- Xxxxx - Xxxxx - Xxxxx - Xxxxx	

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1. Subject matter, objective and purpose

This procedure regulates the identification, handling and monitoring of blocked stocks within the MA Warehousing and supply chain.

2. Definition of terms

Abbreviation	Full-Forms
WH	Warehouse
PO/TO	Purchase Order/ Transfer Order
Pack IT Portal	Packaging Integrated Tool Set
WorkOn Portal	Scrapping Integrated Tool Set
NC Label	Non-Conformance Label
POD	Proof of Delivery
DC	Delivery Chalan

2.1 Blocked Stocks

Blocked Stocks refer to inventory items that are temporarily restricted from being sold or used due to quality concerns. These stocks consume inventory space and add to cost. Blocked stock is shifted to designated warehouse locations (ININ) for inspection as and when the warehouse identifies a deviation or disposition in the goods recieved.

2.2 Types of Blocked Stocks

S.No.	Stock Location	Block Stock Type
1.	INOH	Saleable Stock in Hand
2.	INDD	Damaged Stock
3.	INSH	Stock Shortage
4.	INHL	Expired/ Shelf Life Stocks
5.	INRP	Rework/Repackage Stock

6.	INRV	Return to Vendor Stock
7.	INSC	Scrap Stock
8.	ININ	Inspection

2.3 Q-Notification

A Q-Notification is a formal quality complaint or deviation record raised in the system (SAP) when a non-conforming product is identified. It captures the issue details and routes the stock to the appropriate blocked location (ININ). This triggers a cross-functional review involving numerous departments to access the deviation and determine the suitable cause of action- repack, scrap or vendor return.

3. Process Description

General Process of a Q-Notification for blocked stocks from raising the notification to closing it irrespective of the type of blocked stock.

3.1 Process Flow			Sequence and Roles					
R Responsible A Approval S Support (on demand) I Information C Cooperation			See chapter	GS/WH	MA/QMM	MA/LOP	MA/PUQ	MA/CTG
Input Requirement	Process Step	Output Result						
Stock In	Stock Received by WH	GRN Conducted	3.2	R		I		
WH GRN	Check if Saleable or Deviations Identified	Saleable/Deviation	3.2	R		I		
Saleable	Moved to INDO	Moved to INOH	3.2	R				
Deviations Identified	Raise Q-Notification in system and stock moved to ININ	QMM triggered	3.2	R	S	I		

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ININ stock and Q-Notification details	Inspection and Decision by QMM	Decision for LOP Execution	3.3	R		I	R	
Decision- Damage	Moved to INDD followed by the Damage liquidation process	Liquidation of Blocked Stock completed	3.4.3/ 3.4.4	C		R		I
Decision-Shortage	Moved to INSH followed by the Shortage liquidation process		3.4.5	C		R		I
Decision- Expired/ Shelf-Life	Moved to INHL followed by the Expiry/Shelf-Life liquidation process		3.4.2	C		R		I
Decision- Vendor Return	Moved to INRV followed by the vendor return liquidation process		3.4.6	C		R		I
Decision- Rework	Moved to INRP followed by the Repacking procedure		3.4.1	S		R		I
Decision- Scrap	Moved to INSC followed by the scrapping procedure		3.4.7	S		R		I
Predefined execution Process	Liquidation process completed by LOP	Closure of Q-Notification	3.5	I		R		R

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3.2 Stock Receipt, Classification and Complaint Capturing

This process describes the systematic method of receiving, classifying, and managing stock along with identifying deviations and raising Q-Notifications to ensure effective block stock management. It aims to segregate the saleable stock (INOH) from non-saleable stock, initiate corrective actions promptly immediately.

3.2.1 GRN and Classification

1) Goods Receipt Note (GRN) Preparation:

Upon arrival of the material at the WH, the receiving team creates a GRN in the SAP portal. This document serves as the POD and records details such as the material Id, material batch, and inspection lot creation.

2) Visual Inspection and Location Movement:

Incoming material is moved to an initial inward inspection location (INDO). The QMM/PUQ team reviews the lot for visual conformity.

3) Classification of stocks:

- If the material inwarded has no visual signs of damage or any other deviations, it is moved to unrestricted stock location (INOH) for sale.
- If any deviation has been identified- damage, shortage, expired, or repack; a Q-Notification is raised by the WH team for its liquidation.

3.2.2 Saleable Stock (INOH)

1) Stock Posting:

After inspection and GRN, the approved goods are moved from INDO stock location to INOH stock location. Here release label in green color is affixed on all saleable goods. This triggers its availability for order fulfilment. TO confirmation is carried out. For minimizing ageing and scrap, FIFO checks are enforced. The team ensures that the oldest batches in INOH are released first.

2) Periodic Verification

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Physical inventory and cycle counts are conducted monthly and annually to verify that INOH stocks match SAP records. Any discrepancies are recorded by raising a Q-Notification for the same.

3.2.3 Deviations Identified

Types of deviations:

- 1) Physical damages to packaging or material (inbound or outbound) – INDD
- 2) Quantity mismatches between physical stock in hand and that recorded in SAP (shortage or Expiry)- INSH/INHL
- 3) Vendor Return or Scrap required- INRV/INSC

These deviations are captured by the warehouse team for photographic evidence. This record is crucial for the next step in the process.

3.2.4 Q-Notification Raising

- 1) Triggering the notification:

As and when NC materials are identified that require corrective actions for liquidation, a Q-Notification is raised in the SAP portal.

- 2) Necessary details:

The WH team raises the initial Q-Notification in that includes the following details-

- Type of defect
- Affected material Id, part numbers and batch numbers
- Photographic evidence (if applicable), and
- Other required documents *(Samples to be attached)*

Note: All stock movements across various stock movements are duly posted and updated in the system (SAP portal) and physical label changes are ensured to avoid the mix of blocked stocks with saleable stocks.

3.3 Quality Evaluation by QMM

Link to Detailed process documentation for all cases- [\(WI-301-MAIN-001\)](#)

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3.3.1 Inspection and Result Recording

- 1) QMM/PUQ Inspector checks PCD system to identify inspection lots for inspection. (T-code: QA32)
- 2) After completion of inspection, PUQ Inspector records inspection result in PCD.
- 3) Providing Usage Decision (UD) – OK lots
- 4) Providing Usage Decision (UD) – NOK lots
- 5) Reason codes Nonconforming stocks are blocked due to a particular reason. (Reason codes are used to identify the reason stocks are blocked.)
- 6) Quality Cockpit edits to mark type of Q-Notification for blocked stocks.
- 7) Blocked stock Inspection to view documents uploaded to Q-Notification.
- 8) Adding task to Q-notification.
- 9) Providing decision in Q- Notification.
- 10) Providing approval for decision in Q- Notification.

3.4 Execution by LOP

The LOP Department receives the decision from the QMM department after inspection that has been updated in the system and executes the decision to ensure liquidation of the blocked stock with the following pre-determined processes:

3.4.1 Repacking (INRP) Process

The Repacking procedure for goods in MA Warehouse must follow the following steps:

- 1) Initial Repackaging Decision

Based on the predefined 5 factors to decide whether a product is to be repacked or not, QMM gives the initial repackaging decision to LOP so that the stock can be moved from ININ (Inspection) to INRP (Repack). The following are the 5 factors:

- Value of the product
- Type of Damage
- Local Vs Import stock

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- Master Data Issues
- MOQ

2) Repacking Material Check

Check	Action
Label roll	○ If available, printing availability check ○ If available in network WH, distributon process execution to recieve in required WH. ○ If not available in network WH, vendor sourcing by LOP required.
Label printing	○ If available, label printing by LOD. ○ If not available, printing by LOD in nearest network WH; transported to required WH.
Repacking material	○ If available, repack as per given instructions. ○ If available in network WH, distributon process execution to recieve in required WH. ○ If not available in network WH, vendor sourcing by LOP required.

3) Sourcing:

QMM (portal access owner) provides 'Material Id' of required repackaging material from Pack IT portal for the sourcing process. Detailed process in repackaging document **(To be hyperlinked)**

4) Repacking material and Label Roll arranged:

Once the repacking material and labels (printed by LOD) required have been recieved from the vendor, they are redirected to respective steps in the repacking process.

The WH is expected to ensure the following checklist is checked completely before repacking starts:

Check if	If not
----------	--------

Valid issue only in Intranet. No change service for print-outs.

Labels Recieved	Follow-up with LOP for update on vendor sourcing
Material Recieved	Follow-up with LOP for update on vendor sourcing
Checked Quantity Vs Purchase Order	In case it is short, raise Q-Notification for INSH
Material Undamaged	In case of damage, raise Q-Notification for INDD

Once all items have been checked in this list, the material goes for repacking.

5) Repacking Failure and Cost Estimation

In case the repacking fails due to any reason, the product is shifted to INSC, WorkOn is initiated by LOP. Then the physical stock is moved to quarantine area by WH and TO confirmation is received by them followed by the final scrap of the product. Then an estimated cost of recovery is sent to the CTG department by LOP. CTG then manages the cost recovery for the particular repacking notification.

INRP BASIC

Sequence and Roles

- R** Responsible
- A** Approval
- S** Support (on demand)
- I** Information
- C** Cooperation

INRP RASIC		Sequence and Roles								
R	Responsible		No. of Days (Total= 13 Days)	MA/QMM	MA/LOP-1	MA/LOP-2 and 3	GS/WH	MA/CTG	MA/LOD	MA/COR
A	Approval									
S	Support (on demand)									
I	Information									
C	Cooperation									
Input Requirement	Process Step	Output Result								
Repackaging Required	QMM inspection	Decision on Repacking	1	R	I	I				
Decision Made	Check for label availability	Label available/ not available	0.5	R	I	I	C			
Label not available	Provide material id from Pack IT portal for sourcing	Sourcing Triggered	0.5	R	I	I				
Material Check	Check for material availability	Material available/ not available	0.5	R	I	I	C			
Material not available	Source via network WH or external DC chalan	Material Arranged	2		S	C	R			

Valid issue only in Intranet. No change service for print-outs.

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Sourcing Needed	Engage for vendor quotations & PO Release	PO Released, Vendor Engaged	5		R	R	S		S	S
Label Ready	LOD prints label	Label Printed	1						R	
Material Ready	Repacking process	Repacking done	1.5		I	I	R			
Repacking done	Perform cost recovery process	Cost Recovery	1		I	I		R		

3.4.2 Expiry/ Shelf-Life (INHL) Process

1) Identification

- The process begins automatically when the system moves materials to INHL location once the system automated shelf life (calculated on basis of material entry date) exceeds, indicating expiry.
- If stock is manually moved to INHL, details are updated via PI07 transaction.

2) Blocking and Physical tagging:

- Q-Notification is triggered and an NC label is printed.
- The printed label is affixed to all expired goods and TO is confirmed to update the system.

3) BU Decision

- LOP team collates relevant information (material details, MS, KP1 Activity Flag, Value, PIPO Status) and sends it to BU (Business Unit) for decision.
- The BU decides on:
 - Scrapping: Apply scrapping process, then execute scrapping in the system
 - Requalification: If possible, apply requalification process (under development)
 - Rework: Apply rework/repackaging process

4) Final Closure

The process ends with the execution of the decided action. Proper records are maintained, and system is updated completely.

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INHL RASIC

Sequence and Roles

- R** Responsible
- A** Approval
- S** Support (on demand)
- I** Information
- C** Cooperation

			No. of Days (Total= 6 Days)	GS/WH-LSP	MA/QMM	MA/LOP	BU
Input Requirement	Process Step	Output Result					
Shelf Life exceeded (system/manual)	Move stock to INHL/ update PI07	Stock flagged as expired	0.5	R	I		
Verification	Q-Notification triggered; NC label printed.	Notification and tag generated	0.5		R	I	
Physical tagging	Collect label from printer and affix on goods; perform TO confirmation.	System Updated		R	S		
Information Collection	Collect Data (material details, MS, KP1 Activity Flag, Value, PIPO Status)	Information Packet Ready	0.5			R	
BU Review	Send information to BU for decision.	Await BU instruction	0.5			R	I
BU Decision	BU reviews and shares decision	Decision Recorded	1			I	R
Execute Process	Apply Scrapping/ Other processes as per BU decision	Process complete	2			R	
Final Closure	Close Q-Notification and update records	Q-Notification closed	6		I	R	I

3.4.3 Inbound Damage (INDD) Process

- 1) Document Verification and initial Inspection by QMM. (as per 3.2)
- 2) Identifying and recording Deviations

When the visual inspection reveals a deviation, the WH team documents the deviation by capturing it in the LR copy along with a problem description. To provide further proof, they take sufficient

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photographs that clearly show the issue. This step ensures there is documented evidence to support any claim or corrective action needed. Then, a Y1 notification is triggered as mentioned in detail in 3.2.

3) QMM Decision Options

Release stock for normal sale- INOH- triggers release process

Post to rework/repackaging the stock- INRP

Return to Vendor- INRV

Scrapping- INSC- triggers the scrapping process.

4) LOP Execution Cockpit

Based on QMM's decision, the process is routed to the LOP Cockpit for execution through the relevant process. (release, rework, scrap or return) to close the Q-Notification marking it complete.

3.4.4 Warehouse Outbound Damage (INDD) Process

1) Blocking Stock and Labelling

The Warehouse team (WH/LSP) identifies damaged stock and triggers a notification (details in 3.2). the WH operator enters detailed information and uploads photographs as proof of damage.

Transfer Order (TO) is confirmed in the system to register the blocked movement. This is followed by the QMM team providing a post inspection decision on the next action.

2) QMM Decision Options

- Release stock for normal sale- INOH- triggers release process
- Post to rework/repackaging the stock- INRP
- Return to Vendor- INRV
- Scrapping- INSC- triggers the scrapping process.

3) LOP Execution Cockpit

Based on QMM's decision, the process is routed to the LOP Cockpit for execution through the relevant process. (release, rework, scrap or return) to close the Q-Notification marking it complete.

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**If the task is assigned to someone without a QM module role, an email is sent to manually complete the job, and QMM records the results into the system.

INDD RASIC

Sequence and Roles

- R Responsible
- A Approval
- S Support (on demand)
- I Information
- C Cooperation

			No. of Days (Total= 9 Days)	GS/WH	MA/QMM	MA/LOP	MA/CTG
Input Requirement	Process Step	Output Result					
Damage Identified (inbound or outbound)	Transfer stock to ININ using Quality WH control, enter movement type and reason	Stock blocked in system	0.5	R		I	
Q-Notification Raised	Y1/Y2 Notification triggered; NC label "Block" printed.	Notification and tag generated	0.5	R		I	
Physical tagging	Collect label from printer and affix on goods; perform TO confirmation.	System Updated	0.5	R		I	
Decision Making	QMM/Inspectors provides decision in system	Decision Recorded	1.5	C	R	I	
Vendor Communication (if needed)	LOP facilitates vendor communication	Claim initiated	2.5		S	R	
Processing Deviation	Routed to LOP cockpit for execution (scrap, rework or vendor return)	Routed for final processing	1			R	I
Final Closure	LOP oversees rework, scrap, or return	Q-Notification closed	2.5			R	S

Valid issue only in Intranet. No change service for print-outs.

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3.4.5 Shortage (INSH) Process

1) Identification

The process begins when the WH/LSP team or the transporter is checked for the receiving of the material. During this check, if the number of materials reflected in the system is more than what has been physically received, a shortage is noted in the LR. This is followed by the process wherein WH raises a Q-Notification.

2) Source of identification

The shortage may be identified through one of the following means:

- Monthly or Annual stock taking: These are regular inventory audits conducted in the warehouse wherein a shortage can be witnessed.
- STM Interchange: Inventory shortage can also be witnessed during stock transfer movements.
- Customer Return: When discrepancies are identified in materials returned by customers.

3) Resolution Path: Once Identified, the next step depends on the resolution required:

- The material may be processed as vendor return (sending it back to the supplier) after communication with vendor.
- Alternatively, a Debit Note may be raised to adjust accounts for the missing stock.

Types of Shortages (INSH)

Type	Stor. Bin.	Description
996	IBD_DISCR	Shortages detected during inbound or customer returns
999	LOST&FOUND	Shortages detected in WH
997	PICK_DISCR	Shortages detected during picking
997	TRP_DISCR	Shortages detected during transportation.

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Sequence and Roles

INSH RASIC

- R Responsible
- A Approval
- S Support (on demand)
- I Information
- C Cooperation

			No. of Days (Total= 7 Days)	GS/WH	MA/QMM	MA/LOP	MA/PUQ	MA/CTG
Input Requirement	Process Step	Output Result						
Shortage Identified	Note shortage in LR and initiate Q-Notification	Stock location updated in system	0.5	R	I			
Source Identification	Identification and documentation of the determined source in the system.	Source capture in system	0.5		R	I	C	
Resolution 1- Vendor Return from receiving source	Communication with vendor for processing vendor return and change stock location to INRV.	Vendor return process followed	3		I	R		S
Resolution- Debit Note	Raise debit note to account for shortage	Debit Note raised	2		I	S		R
Notify Update	Resolution type update in the system	SAP updated	0.5			R		
Final Closure	Close Q-Notification in the system	Q-Notification closed	0.5			R		

3.4.6 Vendor Return (INRV) Process

Detailed process document on the vendor return process- [MP-306.01.201-IN](#)

1) Inward inspection/ Customer return

All the materials shifted to INDO are inspected by the quality inspector from PUQ and if any defects are witnessed, the materials are moved to ININ location for further clarification.

2) Q-Notification

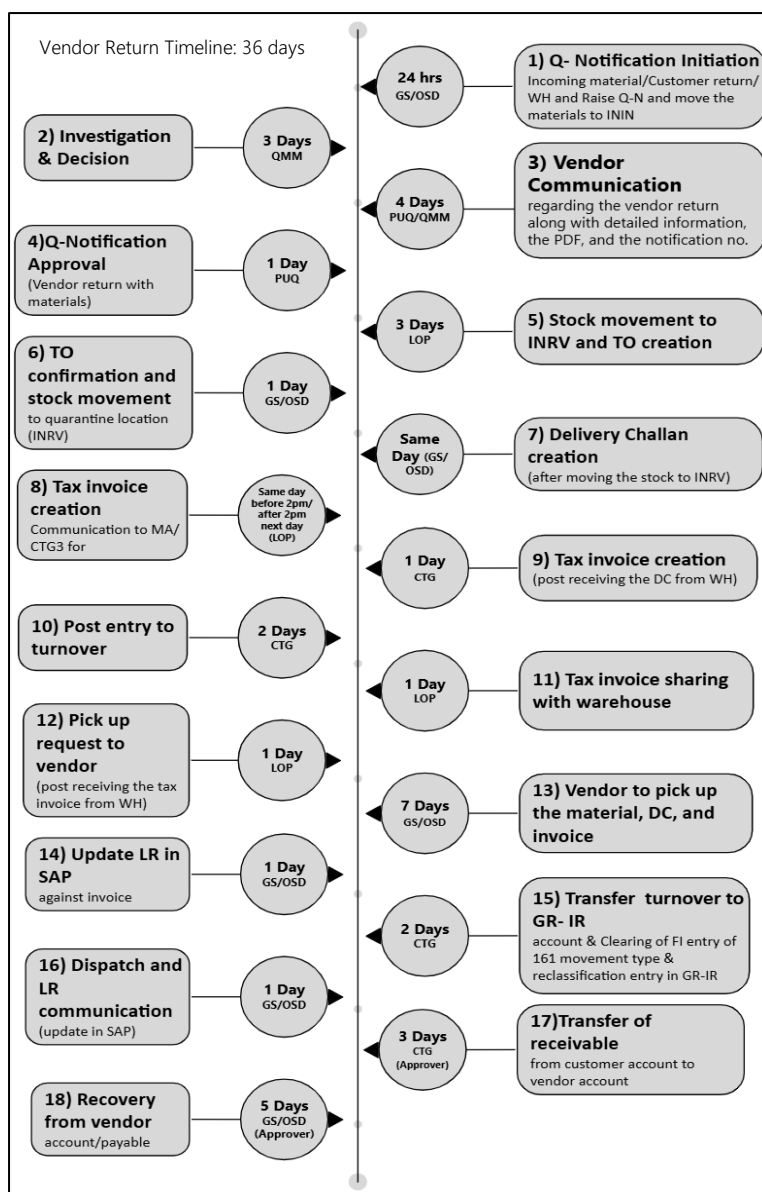
The Quality notification is used to inform the QMM team. The WH is responsible to raise the Q

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notification with proper comment on type of defect or damage.

- Details required for OES/OE customers returns: WorkOn document, Photos and any supporting documents
- Details required for IAM customers returns – Claim details (CMS no), Photos, any supporting document and WorkON document



3) Investigation

The QMM is responsible for RCA of the raised Q-notification and must find out issue and move the material to respective loc.

If the material is damaged/defective and that damage/defect is caused by the WH-LSP or the transporter-LSP, move material to INSC for scrapping and debit the respective LSP for the damage.

If vendor issue is found in the materials, then,

- LOP is responsible for communication and alignment of the vendor.
- Vendor should decide whether the materials are to be sent back to plants or be scrapped at the WH.
- The vendor can only do rework on packing box damage, batch mismatch

and MRP label missing.

- Once the material is good to be sold the materials are to be moved to INOH

Valid issue only in Intranet. No change service for print-outs.

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4) Vendor Decision

Vendor should decide whether the material is to be sent back or to be scraped at the WH. Once the vendor decides, the information must flow to Q-notification approver. The Q-notification approver should approve the Q-notification and mandatorily comment whether the physical material is sent back to vendor or moved it to scrap.

- Physical stocks are to be checked by the WH-LSP.
- The RSO (Reverse Sales Order) is to be created by the LOP in alignment with the vendor.
- The OBD and TO are to be created by LOP with the alignment of WH.
- The material is to be dispatched by the WH.

5) Closure by CTG and LOP

Once the material is dispatched by the WH, CTG should raise the debit note against the vendor for the recovery. CTG should confirm the recovery by providing the LOP with debit details. Based on the debit details the LOP should write-off the materials from the system.

3.4.7 Scrapping (INSC) Process

1) Initiation

Communication to create a WorkON request for scrapping approval is done. This ensures all necessary authorizations are in place before process commencement.

2) Stock Transfer and Physical Movement

Once approval is granted, the selected stock is transferred to INSC location in the SAP System. At this stage, a non-conformance (NC Red Label) marked as Scrap is printed to clearly identify the material as scrap.

The warehouse moves the physical stock to the designated quarantine area for scrapping to ensure that the scrap is segregated from the regular inventory.

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INRV RASIC

- R Responsible
- A Approval
- S Support (on demand)
- I Information
- C Cooperation

Sequence and Roles

Input Requirement	Process Step	Output Result	No. of Days (Total = 8 Days)	GS/WH	MA/QMM	MA/LOP	MA/PUQ	MA/CTG
Decision: Vendor Issue	LOP coordinates with vendor for decision on scrap/rework/return.	Vendor Decision obtained	3		I	R		
Vendor agrees return or rework	Vendor Decision communicated to QMM; Q-Notification updated	Q-Notification Approved	0.5		I	R		
Q-Notification Approved	WH physically checks stock	Stock verified for dispatch or scrap	1	R	I			
Approved vendor return	PO released LOP with vendor alignment, OBD & TO by LOP+WH	PO created	1.5			R		S
System updating required	DC created; stock subtracted from the system	Material Dispatched	0.5	R		S		
Material Dispatched	CTG raises debit note against vendor	Debit note issued	2			I		R
Debit Note confirmed	Q-Notification closed	Process completed	0.5			R		C

3) System Confirmation

The Warehouse team collects the printed label and affixes it to all goods that have to be scrapped. This is followed by the transfer order (TO) confirmation in the system, confirming that the stock has been moved and properly labeled. Finally, the Q-Notification closure process takes place to mark the end of the scrapping procedure.

3.5 Illustrative SAP Screens: *(WH Q-N SAP screens to be attached)*

3.5.1 Quality Cockpit (Q-Notification raised)

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SIAM-PN: QM Quality Cockpit 1.03 Display mode

Mode

Info record

Message

InspLot

Inspection plan

Quality Level

Results

UD

Plant/ QNotif

Material

From date

To date

Responsible

Material Type

Inspection Type

Notifctn type

KU HUP1BAN

Status: 66

Show SD Order

Selection Notific.status

☒ open

☐ return

☒ in work

☐ closed

Q-Notification

Tasks

Inspection lots

Monitor notifications

Quality levels

Q-Info Records

Material

Stock check status

WM Stock

Notification	Notif.date	Plant	Typ	Material	Material text	Batch	Description	Complt...	Release...
200100239	06.06.2025	W069	YI	2469403179751	Sealing disk	202502	52-Imp-short received from import G...	20	0
200100250	06.06.2025	W067	YI	F002B70029079	Delivery Valve	202505	12-STM W for Shortage Assorted box...	100	0
200100274	07.06.2025	W058	YI	24601400214AR	Cross Disc	202306	CR-CC-202505-000160-GANESH DIES...	1	0
200100279	07.06.2025	W069	YI	F002H102338F8	automotive bulb	202505	14-STM-W interchnge from Haryana	300	0
200100280	07.06.2025	W069	YI	F002C714043UC	Seal Ring	202505	14-STM-W interchnge from Haryana	20	0
200100355	10.06.2025	W290	YI	10043390514AV	Brush Holder	202504	12-STM-W Short Receievd from WH ...	16	0
200100373	10.06.2025	W224	YI	F002H241498F8	Set of brake pads	202503	12-STM-W Short From Rewari W291	1	0
200100393	11.06.2025	W213	YI	02047926624AR	Brake Master Cylind...		22-STM-T for STM Transport shortage	15	0
200100454	12.06.2025	W058	YI	9411038578079	Delivery Valve	202502	CR-CC-202504-000330-S.B.DIESEL	6	0
200100456	12.06.2025	W058	YI	F002B10674EHG	Pump element	202411	CR-CC-202504-000167-FRONTLINE C...	12	0
200100492	12.06.2025	W223	YI	F002H241498F8	Set of brake pads	202503	13-STM-INTERNAL DAMAGE	3	0
200100502	12.06.2025	W225	YI	F002H236838F8	Set of brake pads	202505	22-STM T for STM Transport shortag...	2	0
200100526	13.06.2025	W224	YI	02043180264AR	Brake Master Cylind...	202501	12-STM-W Short From Rewari W291	1	0
200100529	13.06.2025	W063	YI	0986AB73834AR	Repair Kit	202412	12-STM-W Short From Pune W058	4	0

3.5.2 Stock Moved to ININ (Inspection)

Notification

200100239

YI

defect goods stock

Notific. Status

OSNO ATCO

Description

52-Imp-short received from import GMBH

Subject

facts/quantity/schedule

findings

Tasks

Activities

Reference object

Material

2469403179751

Sealing disk

Revision Level

Plant for mat.

W069

Bangalore retail WH - AA(...

Serial Number

Batch

202502

ININ

Device data

Prod. Date

Reference Documents

Reference notif

Reference no.

Prod. order

Plant versions

Prod. Version

Mat. of version

3.5.3 Decision by QMM Inspector

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Subject

Coding

YI-AA001

Q0900

undefined Failure

Description

52-Imp-short received from import GMBH

Invoice Date: 17.05.2025

Invoice Qty: 20

Phy received qty: 00

shortage qty:-20

QMM : Shortage received from Import, so move to INSH and debit to Source.

Kindly find attached mail in DMS documents.

Quantities

3.5.4 Stock moved to Blocked stock location for LOP execution:

PCD(1)/011 Enter Transfer Posting

Vendor

97463021

Robert Bosch GmbH

Material

2469403179751

Sealing disk

Document Date

01.07.2025

Posting Date

01.07.2025

InspLot

0

Additional data

Release quantity

20

EA

StkPE:

0

WbSt:

Movement Type

343

Reason

Rec. StLoc

INSH

Plant for material

W069

Batch

202502

ININ

Special Stock Indicator

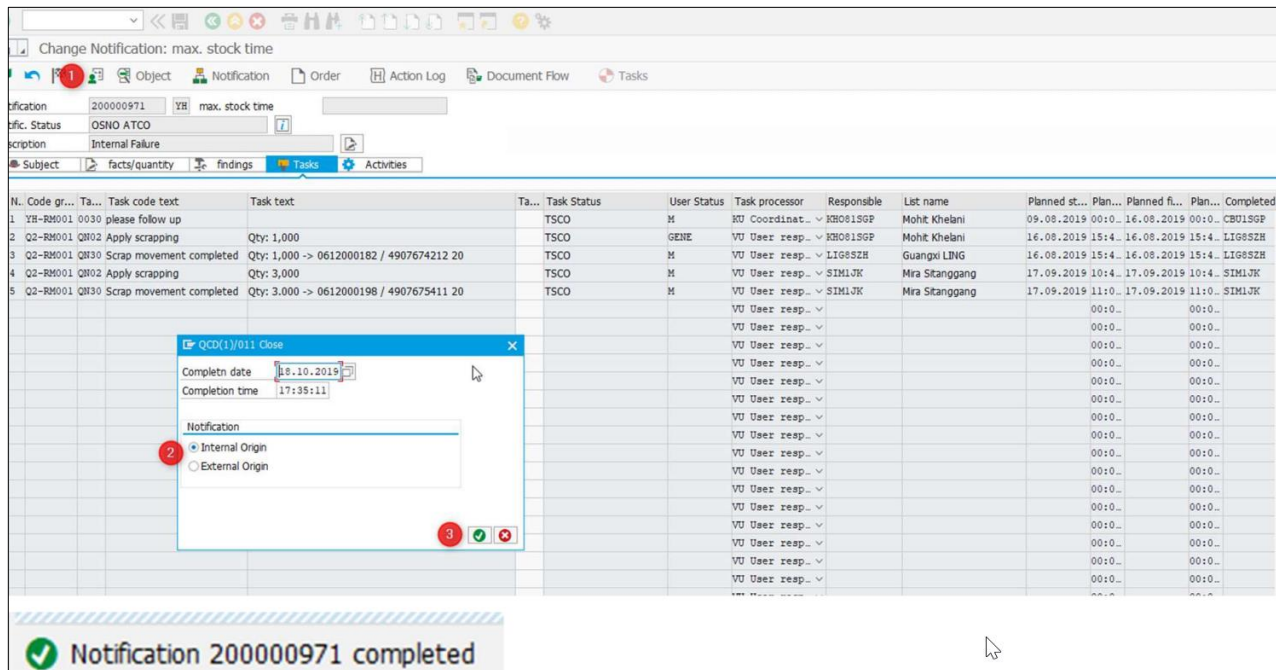
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Check

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3.5.5 Q-Notification Closure:



QMM check to ensure all activities in the Q-Notification are completed before closing Q-Notification.

For CN LDC, after EWM went live, warehouse would do Posting change delivery confirmed when the last operating task (decision for Q-Notification is approved) was performed for the purpose of stock movement, then corresponding Doc. Flow was issued automatically. After all the tasks are completed, the notification could be closed according to following steps.

For the affected stock in CNDY, no matter the final decision is released, rework, scrap or vendor return, QMM or QMC need to inform sales and warehouse colleague for further step to supplement the stock in CNDY.

- 1) Select icon
- 2) Select internal origin or external origin depending on causer of the issue.
- 3) Click on execute icon.

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4. Process Control and Risk and Opportunities

See process data sheet and Risk and Opportunities matrix

Link: Process data sheet

Link: Risk and opportunities

5. Attachments

- Attachment 1 Vendor Return process document
- Attachment 2 Repacking/ Rework process document
- Attachment 3 Knowledge Element Q-M Module

6. Further applicable documents

[1] Work Instruction- QM Process Flow

7. Release

<i>Role</i>	<i>List of approvers</i>	<i>Documentation of approval (only if not applied in "WorkOn")</i>	
Author:	MA/	yyyy-mm-dd	
Process Owner:	MA/		
Approver:	MA/		
Approver:	MA/		
Approver:	MA/		
Approver:	MA/		
Final Approver:	MA/QMM		
	<i>Department</i>	<i>Date</i>	<i>Signature</i>

The documentation of approver signatures is stored in the electronic inside workflow system "WorkOn" (if applicable), else have to be stored and achieved separately by responsible QMM department (QMM according to PD scope).

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8. Version history

Issue	Date	Purpose of changes
1.0	2023-12-24	New release
2.0		

IMPORTANT QUESTIONS AND ANSWERS: -

BLOCKED STOCK CONCEPT QUESTIONS

1. What is blocked stock?

Answer: Blocked stock refers to inventory temporarily restricted from usage or sale due to quality concerns, damage, inspection requirements, or operational issues.

2. Why is blocked stock used?

Answer: Blocked stock is used to segregate inventory that cannot be immediately released for normal business usage until inspection, evaluation, or decision is completed.

3. What is the purpose of blocked stock management?

Answer: The purpose of blocked stock management is to:

- control non-conforming inventory
- ensure quality evaluation
- prevent incorrect usage or dispatch
- support disposition activities such as repack, vendor return, release, or scrap

STOCK LOCATION QUESTIONS

4. What is ININ?

Answer: ININ represents inventory under inspection. This stock location is used for inventory awaiting quality inspection or decision.

5. What is INDD?

Answer: INDD represents damaged inventory. This stock location is used for inventory identified as damaged.

6. What is INHL?

Answer: INHL represents shelf-life expired or expired inventory. This stock location is used for materials no longer usable due to expiry.

7. What is INRP?

Answer: INRP represents rework or repack inventory. This stock location is used for inventory requiring repackaging or rework.

8. What is INRV?

Answer: INRV represents vendor return inventory. This stock location is used for inventory identified for return to vendor.

9. What is INSC?

Answer: INSC represents scrap inventory. This stock location is used for inventory identified for scrapping.

Q-NOTIFICATION QUESTIONS

10. What is Q-Notification?

Answer: Q-Notification is a formal SAP quality notification process used for identifying and managing non-conforming inventory.

11. Why is Q-Notification raised?

Answer: Q-Notification is raised when inventory has:

- quality issues
- damage
- shortages
- packaging issues

- inspection concerns
- vendor-related defects

12. What is the purpose of Q-Notification?

Answer: The purpose of Q-Notification is to:

- document inventory issues
- initiate quality evaluation
- support disposition decision
- track blocked stock processing

13. Which departments are involved in Q-Notification process?

Answer: The document references involvement of:

- Warehouse (WH)
- QMM
- LOP
- PUQ
- CTG

QUALITY INSPECTION QUESTIONS

14. What is QA32 used for?

Answer: QA32 is used by QMM or PUQ inspectors to identify inspection lots for inspection activities.

15. What is the role of QMM?

Answer: QMM performs:

- inspection
- quality evaluation
- RCA activities
- disposition decision support

16. What is the role of Warehouse (WH)?

Answer: Warehouse activities include:

- inventory segregation
- stock movement
- physical handling
- labeling
- blocked stock identification

17. What is the role of LOP?

Answer: LOP supports:

- execution activities
- blocked stock coordination
- vendor return execution
- repack execution
- inventory disposition handling

18. What is the role of PUQ?

Answer: PUQ supports quality inspection and evaluation activities.

REPACK QUESTIONS

19. What is repack inventory?

Answer: Repack inventory refers to inventory requiring repackaging or rework before release or further disposition.

20. Why is repack performed?

Answer: Repack is performed for inventory with:

- packaging issues
- labeling issues
- recoverable packaging defects

21. What is the purpose of repack process?

Answer: The repack process supports recovery of inventory through packaging correction or rework activities.

VENDOR RETURN QUESTIONS

22. What is vendor return inventory?

Answer: Vendor return inventory refers to inventory identified for return to vendor due to defects, damage, or quality concerns.

23. Why is vendor return initiated?

Answer: Vendor return is initiated when inventory is identified as vendor-related defective or unsuitable for release.

23. What is the purpose of vendor return process?

Answer: The vendor return process supports returning defective or non-conforming inventory back to the vendor.

SCRAP QUESTIONS

24. What is scrap inventory?

Answer: Scrap inventory refers to inventory identified as unusable and marked for scrapping.

25. Why is stock scrapped?

Answer: Stock is scrapped when inventory is:

- unusable
- expired
- irrecoverably damaged
- non-repairable

26. What is the purpose of scrap process?

Answer: The scrap process supports disposal of unusable inventory.

SHELF-LIFE QUESTIONS

27. What is shelf-life inventory?

Answer: Shelf-life inventory refers to inventory impacted by expiry or shelf-life limitations.

28. What happens to expired inventory?

Answer: Expired inventory is managed under INHL stock location.

LABEL & SEGREGATION QUESTIONS

29. Why are blocked stock labels used?

Answer: Blocked stock labels are used to:

- identify restricted inventory
- support physical segregation
- prevent incorrect usage
- support warehouse control

30. Why is physical segregation important?

Answer: Physical segregation prevents mixing of blocked inventory with normal inventory.

RCA QUESTIONS

31. Why is RCA performed?

Answer: RCA is performed to identify the cause of inventory defects, damage, shortages, or quality issues.

32. What supports RCA activities?

Answer: The document references:

- inspection
- quality evaluation
- evidence collection
- QMM activities

SHORTAGE QUESTIONS

33. What is shortage inventory?

Answer: Shortage inventory refers to inventory mismatch where physical inventory is lower than expected inventory quantity.

34. Why are shortages investigated?

Answer: Shortages are investigated to identify inventory discrepancies and support corrective action.

PROCESS FLOW QUESTIONS

35. What are the possible blocked stock outcomes?

Answer: Blocked stock may result in:

- release
- repack
- vendor return
- scrap
- further inspection

36. Why is inventory inspected before release?

Answer: Inspection ensures inventory quality and suitability before business usage or dispatch.

37. Why is stock transferred between blocked stock locations?

Answer: Stock is transferred between blocked stock locations based on disposition decision and inventory condition.

Examples:

- ININ → INRP
- ININ → INRV
- ININ → INSC

SAP & INVENTORY CONTROL QUESTIONS

38. What is MMBE used for?

Answer: MMBE is referenced for inventory stock overview and stock visibility.

39. What is MB52 used for?

Answer: MB52 is referenced for inventory stock reporting.

40. Why are SAP inventory transactions important?

Answer: SAP inventory transactions support:

- stock visibility
- inventory tracking
- blocked stock monitoring
- warehouse inventory control

INVENTORY CONCEPT QUESTIONS

1. What is excessive stock?

Answer: Excessive stock refers to inventory beyond required coverage or business requirement.

2. What is dying stock?

Answer: Dying stock refers to inventory with low or no future demand approaching obsolescence.

3. What is blocked stock?

Answer: Blocked stock refers to inventory restricted from sale or usage due to quality deviation, damage, inspection requirements, or operational non-conformity.

4. What is obsolete stock?

Answer: Obsolete stock refers to inventory no longer usable for procurement or sales. Material Status 50 represents obsolete inventory.

5. What is ADS inventory?

Answer: ADS inventory refers to strategically maintained inventory approved through the WorkOn process.

6. What is inventory aging?

Answer: Inventory aging refers to the duration inventory remains in stock without consumption or movement.

7. What is material phase-out?

Answer: Material phase-out is the transition of material from active lifecycle usage toward discontinuation or obsolescence.

8. What is Make-To-Stock (MTS)?

Answer: Make-To-Stock inventory is inventory maintained based on forecasted demand.

9. What is Make-To-Order (MTO)?

Answer: Make-To-Order inventory is inventory maintained based on specific customer demand.

10. What is active inventory?

Answer: Active inventory refers to inventory under Material Status 40 where procurement and sales are allowed.

11. What is phase-out inventory?

Answer: Phase-out inventory refers to inventory under Material Status 49 where procurement is blocked while sales are still allowed.

MATERIAL STATUS QUESTIONS**12. What is Material Status 40?**

Answer: Material Status 40 represents active inventory where procurement and sales are allowed.

13. What is Material Status 49?

Answer: Material Status 49 represents phase-out initiated inventory where procurement is blocked and sales are allowed.

14. What is Material Status 50?

Answer: Material Status 50 represents obsolete inventory where procurement and sales are blocked.

15. What happens after Material Status 50?

Answer: After Material Status 50:

- Procurement is blocked
 - Sales are blocked
 - Inventory is treated as obsolete inventory
-

16. What triggers movement from Status 40 to Status 49?

Answer: Movement from Status 40 to Status 49 occurs when phase-out is initiated and inventory becomes excessive or dying.

17. What is the difference between Status 40 and Status 49?

Answer: Status 40:

- Active material
- Procurement allowed
- Sales allowed

Status 49:

- Phase-out initiated
 - Procurement blocked
 - Sales allowed
 - Inventory interpreted as excessive or dying
-

18. What is the difference between Status 49 and Status 50?

Answer: Status 49:

- Procurement blocked
- Sales allowed

Status 50:

- Procurement blocked
 - Sales blocked
 - Material treated as obsolete
-

19. How does material status affect procurement?

Answer: Material status controls procurement behavior.

Examples:

- Status 40 → Procurement allowed
 - Status 49 → Procurement blocked
 - Status 50 → Procurement blocked
-

20. How does material status affect sales?

Answer: Material status controls sales behavior.

Examples:

- Status 40 → Sales allowed
 - Status 49 → Sales allowed
 - Status 50 → Sales blocked
-

21. What restrictions apply to each material status?

Answer: Status 40:

- Procurement allowed
- Sales allowed

Status 49:

- Procurement blocked
- Sales allowed

Status 50:

- Procurement blocked
 - Sales blocked
-

ADS QUESTIONS

22. What is ADS inventory?

Answer: ADS inventory is strategically maintained inventory approved through the WorkOn process.

23. Why is ADS inventory maintained?

Answer: ADS inventory is maintained for strategic business requirements.

24. What is the purpose of ADS inventory?

Answer: The purpose of ADS inventory is to strategically maintain inventory based on business requirements.

25. How is ADS inventory approved?

Answer: ADS inventory is approved through the WorkOn process.

26. How is ADS inventory monitored?

Answer: The document references monitoring dashboards and inventory monitoring activities for ADS inventory.

27. What is the difference between ADS inventory and normal inventory?

Answer: ADS inventory is strategically maintained inventory approved through WorkOn process, while normal inventory follows standard inventory planning logic.

INVENTORY CLASSIFICATION QUESTIONS

28. What is the difference between excessive stock and dying stock?

Answer: Excessive stock refers to inventory beyond required coverage.

Dying stock refers to inventory with low or no future demand approaching obsolescence.

29. What is the difference between blocked stock and obsolete stock?

Answer: Blocked stock is temporarily restricted inventory.

Obsolete stock is inventory no longer usable for procurement or sales.

30. What is the difference between MTS and MTO?

Answer: MTS inventory is maintained based on forecasted demand.

MTO inventory is maintained based on specific customer demand.

31. What is the business impact of excessive inventory?

Answer: Excessive inventory indicates stock beyond required coverage and inventory imbalance.

32. What is the business impact of blocked inventory?

Answer: Blocked inventory restricts inventory usage until inspection or disposition activities are completed.

33. What is the business impact of obsolete inventory?

Answer: Obsolete inventory cannot be procured or sold under Material Status 50.

34. Why is dying stock risky?

Answer: Dying stock indicates inventory approaching obsolescence due to low or no future demand.

35. Why is inventory aging important?

Answer: Inventory aging helps identify slow-moving inventory and obsolescence risk.

36. Why is inventory optimization important?

Answer: Inventory optimization supports better inventory utilization and inventory control.

KPI QUESTIONS

37. What is the purpose of inventory KPIs?

Answer: Inventory KPIs support monitoring of inventory health, aging inventory, stock classification, and warehouse utilization.

38. Why is excessive stock monitored?

Answer: Excessive stock monitoring helps identify inventory beyond required coverage.

39. Why is dying stock monitored?

Answer: Dying stock monitoring helps identify inventory approaching obsolescence.

40. Why is blocked stock monitored?

Answer: Blocked stock monitoring helps control inventory impacted by quality issues, inspection requirements, damage, or operational restrictions.

41. Why is inventory aging monitored?

Answer: Inventory aging monitoring helps identify slow-moving inventory and obsolescence risk.

42. Why is warehouse occupancy monitored?

Answer: Warehouse occupancy monitoring helps evaluate storage utilization and warehouse capacity usage.

BLOCKED STOCK QUESTIONS

43. What is the purpose of blocked stock management?

Answer: Blocked stock management controls non-conforming inventory and supports inspection, repack, release, vendor return, or scrap activities.

44. Why is blocked stock used?

Answer: Blocked stock is used to segregate inventory that cannot be immediately released for normal business usage.

45. What are the possible blocked stock outcomes?

Answer: Blocked stock outcomes may include:

- Release
 - Repack
 - Vendor Return
 - Scrap
 - Further Inspection
-

46. Why is inventory inspected before release?

Answer: Inspection ensures inventory quality and suitability before usage or dispatch.

47. Why is physical segregation important?

Answer: Physical segregation prevents mixing of blocked inventory with normal inventory.

48. Why are blocked stock labels used?

Answer: Blocked stock labels support inventory identification, segregation, and warehouse control.

49. What happens after blocked stock identification?

Answer: Blocked inventory is segregated and processed through inspection and disposition activities.

STOCK LOCATION QUESTIONS

50. What is ININ stock?

Answer: ININ represents inventory under inspection.

51. What is INDD stock?

Answer: INDD represents damaged inventory.

52. What is INHL stock?

Answer: INHL represents expired or shelf-life impacted inventory.

53. What is INRP stock?

Answer: INRP represents rework or repack inventory.

54. What is INRV stock?

Answer: INRV represents vendor return inventory.

55. What is INSC stock?

Answer: INSC represents scrap inventory.

56. What is the purpose of ININ stock?

Answer: ININ stock is used for inventory awaiting inspection or quality evaluation.

57. What is the purpose of INRP stock?

Answer: INRP stock is used for inventory requiring repack or rework activities.

58. What is the purpose of INRV stock?

Answer: INRV stock is used for inventory identified for vendor return.

59. What is the purpose of INSC stock?

Answer: INSC stock is used for inventory identified for scrapping.

60. What is the purpose of INHL stock?

Answer: INHL stock is used for expired or shelf-life impacted inventory.

61. What is the purpose of INDD stock?

Answer: INDD stock is used for damaged inventory.

Q-NOTIFICATION QUESTIONS

62. What is Q-Notification?

Answer: Q-Notification is a formal SAP quality notification process used for identifying and managing non-conforming inventory.

63. Why is Q-Notification raised?

Answer: Q-Notification is raised for quality issues, damage, shortages, packaging issues, inspection concerns, or vendor-related defects.

64. What is the purpose of Q-Notification?

Answer: Q-Notification supports issue documentation, quality evaluation, and blocked stock disposition processing.

65. Which departments are involved in Q-Notification process?

Answer: The document references:

- Warehouse (WH)
 - QMM
 - LOP
 - PUQ
 - CTG
-

66. What happens after Q-Notification creation?

Answer: After Q-Notification creation:

- inspection activities begin
 - quality evaluation is performed
 - blocked stock processing starts
-

67. What happens after QMM inspection?

Answer: After QMM inspection, inventory disposition activities may include:

- Release
 - Repack
 - Vendor Return
 - Scrap
 - Further Inspection
-

QUALITY / EXECUTION QUESTIONS

68. What is the role of QMM?

Answer: QMM supports:

- quality inspection
 - evaluation activities
 - RCA activities
 - disposition support
-

69. What is the role of Warehouse team?

Answer: Warehouse supports:

- inventory segregation
 - stock handling
 - labeling
 - blocked stock identification
 - inventory movement activities
-

70. What is the role of LOP?

Answer: LOP supports:

- blocked stock coordination
 - execution activities
 - vendor return execution
 - repack execution
 - inventory disposition handling
-

71. What is the role of PUQ?

Answer: PUQ supports quality inspection and evaluation activities.

72. Why is RCA performed?

Answer: RCA is performed to identify causes of defects, damage, shortages, or quality issues.

73. What supports RCA activities?

Answer: RCA activities are supported through inspection, quality evaluation, evidence collection, and QMM activities.

74. What is repack inventory?

Answer: Repack inventory refers to inventory requiring repackaging or rework before release or further disposition.

75. Why is repack performed?

Answer: Repack is performed for packaging issues, labeling issues, or recoverable packaging defects.

76. What is the purpose of repack process?

Answer: The repack process supports recovery of inventory through packaging correction or rework activities.

77. What is vendor return inventory?

Answer: Vendor return inventory refers to inventory identified for return to vendor due to defects, damage, or quality concerns.

78. Why is vendor return initiated?

Answer: Vendor return is initiated when inventory is identified as vendor-related defective or unsuitable for release.